

there who can advise you financially. Sometimes they offer free counseling to people in the community too.

- **Be skeptical of for-profit companies offering assistance.** Be leery of anyone offering unsolicited “loan approvals,” and don’t sign anything you don’t understand. Although some of these companies can help, often they will only do what you could yourself for free. There is helpful advice on how to avoid traps at the Freddie Mac website (www.freddie.mac.com) and the HUD website (www.hud.gov/foreclosure).

There are also plenty of scam artists. You need to be on your guard against scammers trying to capitalize on people’s vulnerable financial state. They offer everything from seminars to new high-risk mortgages to foreclosure “protection”—which is anything but.

↓ **FINANCIAL CRAMMING**

- **If you’re about to rent an apartment, read the lease carefully.** There may be conditions you don’t like. Try to have unwanted provisions taken out of the lease before you sign.
- **When shopping for a mortgage, be sure to research all the loans available to you.** Check online and with several banks and mortgage companies. Websites like www.hsh.com and www.freeratesearch.com are great places to start. Also consult local newspapers, which often print weekly listings of mortgage rates. Try your state’s housing agency (see chapter 7 for a list of phone numbers). And ask your local lender about FHA, Fannie Mae, and Freddie Mac mortgages. Careful shopping can save you thousands of dollars in the long run.
- **If you’re thinking about buying a home, try to boost your credit score as much as you can in advance.** For a free